

Basic economics

Microeconomics

Microeconomics is the study of the behavior and decisions of households and firms, and the performance of individual markets.

Microeconomic topics include changes in the earnings in a particular occupation and changes in the output in the car industry.

Macroeconomics

Macroeconomics is the study of the whole economy. Macroeconomic topics include changes in the number of people employed in the economy and changes in the country's output.

Economics is a social science that studies human behavior as a relationship between ends and scarce means which have alternative uses. That is, economics is the study of the trade-offs involved when choosing between sets of decisions. It is often said that the central purpose of economic activity is the production of goods and services to satisfy consumer's needs and wants i.e. to meet people's need for consumption both as a means of survival but also to meet their ever growing demand for an improved lifestyle or standard of living.

Economic resources are limited, but human needs and wants are infinite. Indeed the development of society can be described as the uncovering of new wants and needs, which producers attempt to supply by using the available factors of production. The basic economic problem is about scarcity and choice since there are only limited amounts of resources available to produce the unlimited amount of goods and services we desire. Because resources in our world are limited and becoming more scarce and our desires are unlimited, we must make decisions and choices, which imply sacrifices.

Free goods are much rarer. When most people talk about free goods, they mean products they do not have to pay for. These are not usually free goods in the economic sense since resources have been used to produce them. Economists define a free good as one that takes no resources to make it. It is hard to think of examples of free goods. Sunshine is one such example, so is water in a river.

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However, as soon as this water is processed for drinking, or used for irrigation of fields, it becomes an **economic good**.

Nature of economics

- Unlimited wants
- Limited resources
- Scarcity
- Choice - opportunity cost

Opportunity cost: there is a well known saying that "there is no such thing as a free lunch!" Even if we are not asked to pay a price for consuming a good or a service, scarce resources are used up in the production of it must be an opportunity cost involved. Opportunity cost measures the cost of any choice in terms of the next best alternative forgone. Many examples exist for individuals, firms and the government.

Work-leisure choices: The opportunity cost of deciding not to work an extra ten hours a week is the lost wages forgone. If you are being paid \$6 per hour to work at the local supermarket, if you choose to take a day off from work you might lose \$48 from having sacrificed eight hours of paid work.

Government spending priorities: The opportunity cost of the government spending nearly \$10 billion on investment in National Health Service might be that \$10 billion less is available for spending on education or the transport network.

Investing today for consumption tomorrow: The opportunity cost of an economy investing resources in new capital goods is the current production of consumer goods given up. We may have to accept living standard of goods now, to accumulate increased capital equipment so that long run living standards can improve.

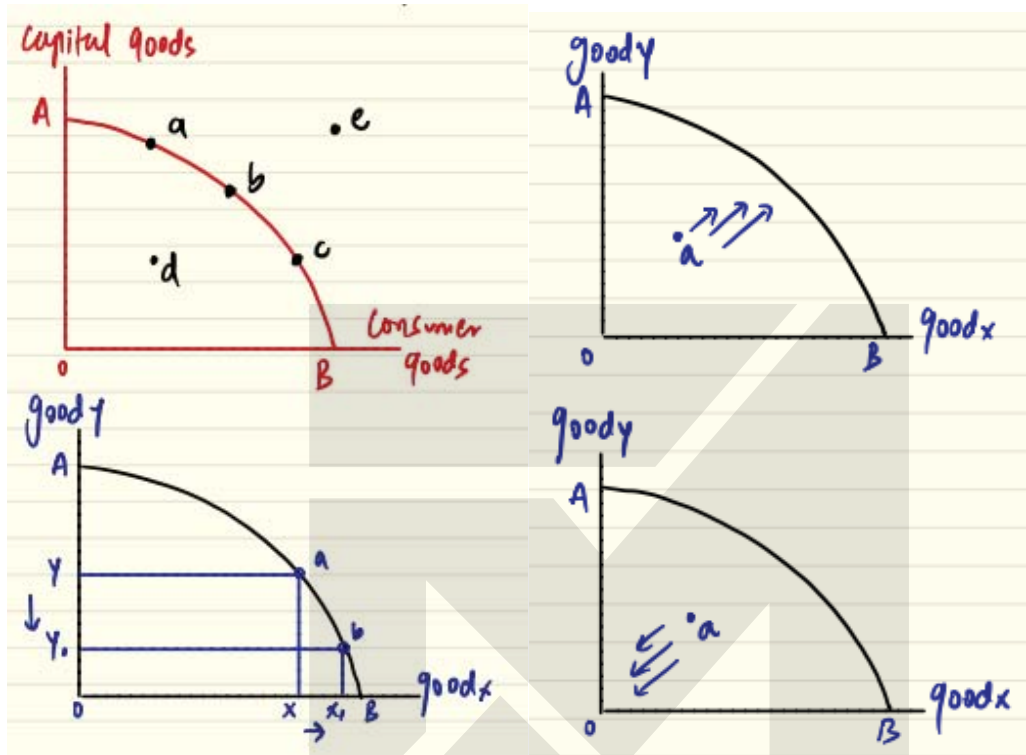
Making use of scarce farming land: The opportunity cost of using arable farmland to produce wheat is that the land cannot be used in that production period to harvest potatoes.

Production possibility curve: It shows the combinations of output that an economy can produce with its given resources. All the points on the Production possibility

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curve shows the potential output i.e. what an economy can produce with its given resources.



Opportunity cost concept can be explained using production possibility curve. Opportunity cost means the real cost of choosing one thing and not another; so if an economy is operating at point B, choosing to operate at point B will incur opportunity cost i.e. more of product X and less of product Y.

Point inside the production possibility curve represents the concept of unemployment (Macroeconomics) i.e. point X, this point represents that though having resources, an economy is under allocating them i.e. waste of resources or idle labor i.e. the opportunity cost of output that could have been produced. Point outside the production possibility curve represents unattainable combination that can't be produced with given resources, in other words, scarcity

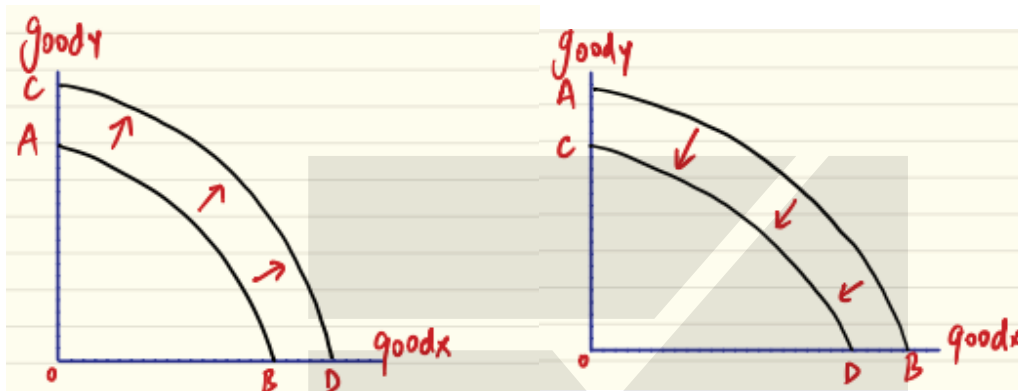
Production possibility curve also represents the concept of economic growth i.e. when productive potential of the economy increases. Economic growth is the

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increase in real output - this will result in shift in the production possibility curve as shown in the diagram. Economic growth is the macroeconomics concept.

Production possibility curve can shift inward in adverse situations like earthquake or disaster or emigration, in this case the economy's productive potential decreases.



ECONOMIC SYSTEMS

An economic system is a system that involves the production, distribution and consumption of goods and services between the entities in a particular society. In a given economy, it is the systemic means by which problems of economics are addressed, such as the economic problem of scarcity through allocation of finite productive resources. So economic systems are about:

1. Who owns the factors of production (resources)
2. The method used to motivate, coordinate, and direct economic activity.

In general there are three major types of economic systems prevailing around the world.

The command system is a system in which a large portion of resource is owned by the central government. In a purely command economy, this means that all the major decisions concerning the use of resources, the composition and distribution of output, and the organization of production would be made according to the nation's central plan. This central plan is formulated by a central planning board, appointed by the government and given absolute power over all of the nation's

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economy. Competition is discouraged and incentives for workers are minimal, which generally leads to the result of stagnant development.

Characteristics:

1. **Ownership:** Nearly all of the country's factors of production are owned publicly by the government (or the state) i.e. all land, housing, factories, power stations; transport systems, defense, and so on are owned by the government. The only factor over which the government does not have total control is labor, but they certainly have indirect control over workers, the logic of the state ownership of the resources in these societies is based upon the desire for more equitable distribution of income and wealth. The direct ownership of the means of production can give the state the full control that it needs in order to carry out its economic plan.
All the decisions are taken by the powerful central committees. They decide about what, how and for whom to produce and how the output should be shared out among the people. This requires a large number of planners, supervisors, and administrators to draw up and operate the national plan. In order to avoid this, the control of day to day running of the farms, factories and shops may be handed over to group of workers, though the ultimate ownership is vested in the state. This is referred to as worker's collectives.
2. **Competition:** Since all the production decisions are taken by the state and that all the production units are owned by the central government, there are no competitors of the publicly provided goods and services. So theoretically, there is no concept of competition in planned economic systems.
3. **Allocation of resources:** In command economic systems, the resources of the economy are allocated through government directives. The government officials conduct survey about the total amount of resources in the economy and the total quantities of different goods and services that can be produced out of these resources i.e. what is the productive potential of the economy. Then a survey of the needs of people for different goods and services is conducted to arrive at the total quantities of different commodities to be produced. The industries are then given targets to produce specific quantities of the commodities in a period of five years. The

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next task is to allocate the necessary supplies of commodities in a period of five years. The next task is to allocate the necessary supplies of materials, equipment and labors to various production units.

4. **Distribution decisions:** In a pure command economic system goods and services are produced for the fulfillment of the needs of people whether they are able to afford it or not. The state is responsible for the basic necessities of life. So the goods and services are distributed according to some sort of rationing scheme as a reward for the services which the labor renders for the government. Labors receive vouchers for their work, which entitle them to various quantities of different commodities which they get from the government ration shop but this sort of distribution of goods and services is possible only when there are only very few basic necessities are being produced. In more complex societies where there are varieties of different goods and services, labor demand income in monetary terms for their work so that they could spend their incomes according to their own wishes.

THE MARKET SYSTEM, also known as capitalism, emphasizes ownership of resources. It is also a system that is influenced by markets and prices. Goods and services are bought and sold in these markets, places where buyers and sellers come together, and the competing buyers and sellers act independently of each other.

With pure capitalism (laissez-faire capitalism means "let it be" when literally translated), the government controls private property, but is not allowed to meddle with the economy. It is believed that the government's interference will affect the efficiency of the market system. However, in most capitalist countries such as the United States, the government does still play a significant role in the economy, providing for economic stability and growth as well as enacting certain rules for economic activity. Nevertheless, the major force that drives the economy in a market system is the market itself. Competition and supply and demand are the foundation of the market system e.g. includes United States.

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1. **Private property:** In a market system, private individuals and firms own most of the property resources, land and capital, not the government. It enables individuals and businesses to obtain, use, and dispose of property resources as they see fit. It can be extended to intellectual property such as copyrights, trademarks; encourages new innovative inventions under such long-term protection. Exchange also takes place to private property, because it proves to the buyer that the seller is the legitimate owner.
Private property encourages investment, innovation, property maintenance, and economic growth. It enables people to use their available resources to produce more goods and services, instead of using them to protect the land and capital already have. Private property also encourages the owners to maintain or improve their property, so that they could increase its value. The owners of the resources have the right to earn incomes from their resources. These incomes are in the form of interest on loans, rent on land and profit/dividend on the ownership of the production units.
2. **Freedom of enterprise and choice:** Freedom of enterprise guarantees entrepreneurs the right to gain economic resources and to sell them in markets of their choices. Freedom of choice allows owners to use and spend their money in any way they want. It also states that workers are entitled to pursue any type of work, as long as they are qualified. Consumers are allowed to spend their money in any way they want, as long as it is within their budget.
This freedom of consumer's choice is usually held to be the most important of these economic freedoms. The consumers is regarded as being sovereign since it is the way in which he chooses to spend his income which determines the way in which the society uses its economics resources.
3. **Self interest:** Self interest is basically the motivating force of economic units in the market system. People are interested in what they can get for themselves, not others because people are interested in what they want; they place high value on something they want. When two people come together and mutually realize the other has something higher value, they will be willing to trade. Entrepreneurs try to maximize profit and minimize loss, and workers try to fulfill their satisfaction by taking jobs of higher wages,

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shorter working hours, and better working conditions. Also, the consumers try to buy the products at the lowest price with maximum utility. This is all self-interest that keeps the economy consistent.

4. **Competition:** It is an important feature of market economic system where there is a large number of buyers and sellers for each commodity. Each buyer purchases a very small proportion of total demand for the good and seller sells a very small proportion of total supply of the commodity. So an individual buyer and seller cannot affect the market price by making changes in their buying and selling decisions. The production and consumption of a similar product by all the firms in the industry means that the price at which the producers sell the good must be the same. Firms try to produce better quality and provide better services to attract more customers.
5. **Price mechanism:** It is the most important feature of the market economy for the allocation of resources among all the industries. The reason why it is called price mechanism is because the price acts as a signal and an incentive for producers to act in the required way so as to maximize their gain. According to this mechanism, the decisions of the producers (how much quantities the producers are willing to sell at different prices) determine the supply of a particular good and the decisions of the consumers (how much quantities consumers are willing to buy at different prices) determine the demand for the good. The price at which the demand and supply are equal is called the equilibrium price and the allocation of resources in the economy. For example, the demand for a good increases at a particular price. This will make the producers charge higher price causing profits to rise and at the same time producers tend to produce and sell more quantity of the commodity until the excess demand eliminates. So there will be greater allocation of resources in the production of this good. Similarly, where the demand for a good falls, the resources will leave the industry.

Advantages of a move to a market economy: It is possible that a number of advantages may be gained from moving from a planned to a market economy.

- Consumers can influence what goods and services are produced directly by their purchases i.e. they can exercise **consumer sovereignty** and greater use

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of the price mechanism will provide an automatic and quick way to signal to producer what consumers want.

- The market system provides **incentives to entrepreneurs** in the form of profits and to workers in the form of higher wages. This should encourage entrepreneurs to produce high quality products and to innovate, and workers to work hard.
- Consumers will have a **greater choice** of producers. Instead of having to buy from one government firm they may have a choice of a number of private sector producer. This increased competition may increase the quality of products since rival producers will seek to attract new customers by improving the standard of their goods and services.
- **Foreign investment** may be encouraged since overseas producers may expect a higher return on their investment and be less fearful of government intervention.
- **Efficiency** may increase since those firms which do not produce what people and at low cost (and hence low prices) may go out of business.

Disadvantages of a move to a market economy:

- Private sector firms may try to reduce their cost by, for e.g. dumping waste materials in rivers. As private sector firms are concerned primarily with **profits** they may not take into account the effect their production has on the environment.
- Some people will not be able to earn adequate incomes. These people include the sick, the elderly, and those with skills that are not in high demand. These people may fall into **poverty**.
- Those with the highest purchasing power will have the most influence on what is produced and some goods and services wanted by the poor may be under produced.
- Goods and services that are difficult to make consumers pay for directly may not be produced e.g. defense.
- While people may buy less of some products such as seat belts for example, and they may buy more of other products e.g. cigarettes and alcohol. The

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first type of product is called merit good and the second type is referred to as demerit goods.

- One feature of the market economy, especially in more recent times, is that firms tend to increase in size and power. Modern technology has made it possible for large scale producers to obtain greater advantages in the form of lower production costs. This tendency towards market domination by giant firms reduces or removes the limiting role of competition and gives the large firm the power to exploit the consumers by charging higher prices.
- Advertising may persuade people to want products they would not otherwise have chosen. In this case it will be producers rather than consumers who will determine what is produced.
- There is no guarantee that everyone who wants a job will be able to find one.

Three fundamental questions

1. What will be produced?

Market: Consumer sovereignty: determines the types and quantities of goods produced. Basically, the consumers get the last say; if consumers don't want the products, then the producers of the product don't profit. Consumers "cast" their votes (money) on the products they are willing to buy. If there aren't enough dollar votes for a product, then the businesses will stop producing that product. On the other hand, if there are many votes for a certain product, then the business will profit from it and continue to produce it.

Command: Whatever the central government deems to be needed by the nation.

2. How will the goods and services be produced?

Market: In combinations of resources or ways that will minimize the cost of production. If labour is cheaper and more productive than capital then the producer will use more of labor and less of capital which is termed as labor intensive technique of production. On the other hand if capital is cheaper and more productive then the producer will use capital intensive technique of production.

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Command: With whatever technology is available or how the government wants. Usually the state decides about the labor intensive technique of production because the state is responsible for the employment of the labor force.

3. Who will get the output?

Market: Consumers who are able and willing to buy the product

Command: Ideally everyone gets equal share. However, no command economies were entirely successful in this aspect.

MIXED ECONOMY, the decisions and choices are made partly by free market forces of supply and demand, and partly by government decisions. Economic wealth is divided between the private sector and the public sector. In practice, all modern national economies are mixed economies, although with differing proportions of free market and centrally planning decision-making from one country to the next.

Many of the disadvantages of the free market economy indicate that there are reasons why the government may intervene in the working of the economy. In mixed economy, market mechanisms exist, but the state also plays an important role. A government may intervene:

1. To restrain the unfair use of economic power by monopolies or other bodies which might be able to impose their wishes on the rest of society.
2. Provision of public goods, subsidies to private sector for merit goods and tax/ban/advertisements for demerit goods.
3. To correct inequalities of the free market system redistributing wealth between individuals between regions - taxation
4. To provide goods and services that private enterprise would be reluctant or unable to provide in sufficient quantities and at an acceptable price, for example:
 - Goods that is socially desirable but unprofitable for private producers - for example special equipments for handicapped people
 - Services those are unsuitable for private enterprise because such ownership would be against the public interest - such as the armed forces or the legal system.

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- Services that are natural monopolies, being very large and complex - for e.g. the provision of domestic electricity or the railway system.
- 5. To remove socially undesirable consequences of private production - for e.g. pollution and regional imbalances in unemployment.
- 6. To direct changes in the structure of the nation's industries, by retraining programmes, and to new industries, or investment in research and development, and so on.
- 7. To manage inflation rates, employment levels, balance of payments and the economic growth.
- 8. To moderate the ups and downs in the trade cycle trying to stimulate economic activity during a recession and to dampen demand when it is so high that steep price inflation occurs.

Factors of production

The sum total of the economic resources which have in order to provide for our economic wants are termed the factors of production traditionally, economists have classified these under four headings. They are

- Land
- Labor
- Capital
- Enterprise

Land: It may be defined as all the free gifts of nature. As such, land constitutes the space in which to organize economic activity and the resources provided by the nature. Thus, included within the definition are all the mineral resources, climate, soil fertility, forests, mountains and mines, etc. the sea, since it is resource both for fishing and mineral exploitation would also fall within the definition of land i.e. natural resources.

Labor: It may be defined as the mental and physical efforts of humans used in the production of goods and services. Included in this definition are all the efforts which people undertake for reward, either in the form of wages and salaries or income from self-employment. It is inevitable that some workers are more productive than others because of the education, training and work experience

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they have received. What matters is the size and quality of the workforce. An increase in the size and the quality of the labor force is vital if a country wants to achieve economic growth.

Capital: It is a means of production that is made by human labor and used for the further production of goods and services. Drill presses and other machines, dams, roads, irrigation canals and building are examples of things that may be considered as capital if they are used to produce other goods. We also define capital as the stock of wealth existing at any one time. As such, capital consists of all the real physical assets of society.

Entrepreneur: It is held that, left to themselves, land, labor, capital and technical knowledge will not produce anything on their own. There must be someone to organize these factors in a particular combination to produce output of goods and services. Someone is required to decide about what, how, where, and for whom to produce. Whoever takes these decisions and assumes the associated risk is called and entrepreneur.

An entrepreneur thus fulfills two vital functions:

1. It hires and combines the other factors of production.
2. It takes a risk by producing goods in anticipation of demand.

It may fairly easy to identify the role of the entrepreneur in a small business. However, in a large business the entrepreneurial function will be split up between many managers and departments, as well as being shared with the shareholders of the company.

An entrepreneur produces output in an expectation that he will make profits. He anticipates the demand for the product and produces output by employing the necessary factors of production on which he incurs some costs of production. This is why he is also called as a risk-taker. If his anticipations are correct, he makes profits, if not, he incurs losses.

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Mobility of the factors of production

The mobility of land: Most land is occupationally mobile. This means that it can be used for a number of purposes. Land which is currently being used for farming may be used instead to build houses. Trees can be used to make tables or sleepers for railway lines.

Land, in its traditional sense, is geographically immobile. It is not possible to move a section of land from Sri Lanka to India, for example. Some forms of land, in its wider meaning, can be moved to a certain extent. For example, the course of rivers can be diverted and wildlife can be moved.

The mobility of labour: The mobility of labour varies. Some workers may find it difficult to move from one area of the country to another, or from one country to another (geographical immobility), and some may find it difficult to switch from one type of job to another type (occupational immobility). The causes of geographical immobility include:

- Differences in the price and availability of housing in different areas and countries. Workers who lose their jobs in poor areas may not be able to take up jobs in rich areas because they cannot afford or find housing there.
- Family ties. People may be reluctant to leave the country they are currently living in because they do not want to move away from friends and relatives.
- Differences in educational systems in different areas and countries. People may not be willing to move to a job elsewhere if it disrupts their children's education.
- Lack of information. People without jobs, or those in poorly paid jobs, may stay where they are because they are unaware of job opportunities elsewhere.
- Restrictions on the movement of workers. It is often necessary to obtain a work visa to work in another country and these can be limited in supply.

There are also a number of causes of occupational immobility. Again there may be a lack of information about vacancies in other types of jobs. The main cause, however, is a lack of appropriate skills and qualifications. A shortage of doctors cannot be solved by hiring bus drivers!

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The mobility of capital: The geographical and occupational mobility of capital varies according to the type of capital goods. Some types of capital goods can be transferred from one part of the country to another. A photocopier used by a bank in one area of a country can be sold to, and then used by, a bank in another area. A coal mine and a dock, however, are fixed in position and so are geographically immobile. They are also occupationally immobile since their use cannot be changed, as they have been made for a specific purpose. In contrast, a delivery van used originally by a book publisher may be bought and employed by a toy manufacturer to distribute its products. Similarly, an office block may be used for a variety of purposes. It may house a call Centre or an accountancy firm.

The mobility of enterprise: Enterprise moves when the people who carry out the functions move. These people are called entrepreneurs. The mobility of enterprise depends on the mobility of entrepreneurs.

Enterprise is the most mobile factor of production. The skills involved in being an entrepreneur can be applied in every industry. Someone who has borne uncertain risks and organized factors of production in the car industry should be able to do this in, for example, the textile industry too. Apart from being occupationally mobile, enterprise is also geographically mobile. Someone who has been successful in starting up and running a business in one country is likely to be successful in another country also.

Quantity and quality of the factors of production

The quantity of land: The amount of physical land in existence does not change much with time. There is a certain degree of soil erosion which reduces the supply of agricultural land, but also a certain amount of land reclamation which increases its supply. Other natural resources, however, can change quite significantly. Rainforests are currently declining at a rapid rate.

Some natural resources are renewable whilst others are non-renewable. Renewable resources, for example wind power, are replaced by nature and can be used again and again. In contrast, non-renewable resources, for example gold and oil, are reduced by use. There is a risk that renewable resources can be turned into non-renewable resources if they are overexploited, that is used at a faster rate than

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they are replenished. Over-fishing and the hunting of wildlife can diminish numbers to a point where they cannot be restored.

The quality of land: There are a number of reasons why the quality of natural resources may increase. Fertilizers can be applied to fields to increase the fertility of the land. The purity of rivers, and so the health of fish in the rivers, can be improved by stopping firms polluting the rivers. Providing good drainage can increase the yield from fruit trees.

The quantity of labour: The quantity of labour is influenced by two key factors. One is the number of workers available and the second is the number of hours for which they work.

The number of available workers is determined by:

- The size of the population. The larger the population, the more workers there are likely to be.
- The age structure of the population. A country with a high proportion of people of working age will have more workers than a country with the same population size, but a higher proportion of people who would be too young or too elderly to work.
- The retirement age. The higher the retirement age, the more potential workers there will be.
- The school leaving age. Raising the school leaving age would reduce the number of workers.
- Attitude to working women. Countries where it is acceptable for women to work have more workers to draw on.

Those people who are working and those seeking work form the labour force. This is also known as the workforce or working population. Those of working age are people between the school leaving age and the retirement age. In Singapore, this covers people aged between 16 and 62. In the UK, this covers people aged between 16 and 66. Not all of these people, however, are in the labour force. Some may be in full-time education, some may have retired and some may be sick or disabled.

The number of hours which people work is influenced by (among other factors):

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- the length of the average working day, for example full-time workers in the USA tend to work for longer hours than those in European Union countries
- whether they work full or part-time, for example more people in the UK work part-time than those in France
- the duration of overtime
- the length of holidays taken by workers
- the amount of time lost through sickness and illness.

As with all the factors of production, it is not just the quantity of labour which is important, but also the quality. More can be produced with the same number of workers if the workers become more skilled. An increase in productivity, including labour productivity, is a major cause of an increase in a country's output.

The quality of labour: The quality of labour can be improved as a result of better education, better training, more experience and better healthcare. A better educated, better trained and more experienced labour force will be able to carry out more difficult tasks, work with more complex machinery and equipment, and produce more and better quality products. A healthier labour force will be able to concentrate more, be stronger for any manual tasks and will have fewer days off sick.

The quantity of capital: The quantity of capital is influenced by investment and tends to increase with time. Every year some capital goods physically wear out and some become outdated, for example a farm barn may fall down and some machinery may be replaced by newer, more efficient machinery.

New capital goods, however, usually take the place of those goods, which firms are unable (or choose not) to use any more. The total value of the output of capital goods produced is referred to as gross investment. Some of the capital goods being produced will be replacing those which have worn out or become obsolete. The value of replacement capital is called depreciation or capital consumption.

Net investment is the value of the extra capital goods made. It is equal to gross investment minus depreciation. For example, if a country produces \$200 million capital goods one year and there is depreciation of \$70 million, net investment is

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\$130 million. The country will have more capital goods. These additional capital goods will allow it to produce more goods and services.

Occasionally, gross investment may be lower than depreciation. This means that some of the capital goods taken out of use, are not replaced. This is said to be negative net investment.

The quality of capital: Advances in technology enable capital goods to produce a higher output and a better quality output. The development of robotics in car production, for example, has increased significantly the number of cars that a car factory can produce.

The quantity of enterprise: The quantity of enterprise will increase if there are more entrepreneurs. A good education system, including university degree courses in economics and business studies, may help to develop entrepreneurs in an economy. Lower taxes on firms' profits (corporate taxes) and a reduction in government regulations may encourage more people to set up their own businesses. Sometimes, a disproportionate number of immigrants become entrepreneurs. These are people who have had the drive to leave their home country in search of a better life and this drive often leads them to become entrepreneurs in the new country.

The quality of enterprise: The quality of enterprise can be improved if entrepreneurs receive better education, better training, better healthcare and gain more experience. More experience can be particularly significant in the case of entrepreneurs. Very successful entrepreneurs have often set up businesses in the past, some of which may have failed. The knowledge and understanding they have gained of, for example, the products people like to buy and the best sources of raw materials, can help them make a success of a new business.

Division of labor and specialization

Division of labor is the term used in Adam Smith's "the wealth of nations" to describe the separation of manufacturing process into distinct and simple and simple operation which are then delegated to specific hand or machines to perform. When workers perform the simple task repeatedly, they become specialized in that

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particular process of production. On a firm's level, specialization refers to the organization of production in which individual workers specialize in the production of a particular good or service.

Division of labor is when you divide your workers, provide them with specific task and make them specialized, so division of labor leads to specialization.

Advantages of division of labor and specialization:

1. **Increase productivity:** Specialization of labor results in more efficient production; it results in the production of larger quantities and better goods without additional effort. This is so because specialization takes advantage of the fact that individuals are endowed with different personal capabilities and aptitudes. Some are better at doing some task than others. A man who is a very good cook may be a very poor carpenter. Thus, specialization allows each man to concentrate on the job that he is most capable and suited. This, therefore, brings about greater job satisfaction and in turn helps to increase productivity.
2. **Increased skills:** Division of labor enables workers to acquire greater skill at their jobs, for as the saying goes 'practice makes perfect'. After constant repetition of a task, a worker becomes an expert. This makes him more efficient and this will lead to an increase in productivity.
3. **Greater choice of jobs:** Division of labor increases the number and variety of jobs. Employment is thus diversified and workers have a wider choice to choose from the jobs they like. With specialization more jobs are also created which means more people will be employed.
4. **Greater use of machinery:** Specialization makes possible the use of machinery. The division of labour results in the development of machines to take over some of the tasks that human beings used to perform. Machines can perform relatively simple and repetitive tasks better than human labor. Machines also have made possible the performance of many tasks beyond human capability.
5. **Lower cost per unit of output:** Specialization also makes possible large scale production. Large scale production has often led to reduction in costs

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and prices because of greater efficiency and advantages of large scale production. The lower price in turn helps to expand the size of the market.

6. **Saving of time:** Saving in time is another advantage of specialization. Under the system of division of labor, a worker performs part of the production process. Thus, there is saving of time which is often lost in passing from one sort of work to another.
7. **Wider consumer choice:** Specialization must be accompanied by foreign trade. Specialization and trade thus lead to the production of more and better goods. This opens up a whole new range of goods and services. This is beneficial to the people as there is a wider variety for them to choose from.
8. **Higher income and employment:** Workers and employment for specialized work in turn leads to an increase in the demand for goods and services causing a further increase in the income and employment in the economy.

Disadvantages:

1. **Monotony and boredom:** Division of labor means that each worker performs only one small operation great many times during each working day. Work becomes monotonous and it also tends to retard human development. The interest on work will reduce and the workers will lack initiative, judgment and responsibility. Repetitive movement cramps a person's mind and narrows his outlook.
2. **Risk of unemployment:** Specialization also tends to restrict employment since a worker is specialized in a certain task; it is harder for him to find employment in other fields. For e.g. a worker who is trained and specialized in making the seat of a chair cannot seek employment in the shoe manufacturing industry as he has no skill and knowledge regarding the making of shoes.
3. **Reduction of craftsmanship:** Under division of labor many people contribute in the production of a particular good. Since everybody's business is nobody's business, workers tend to lose all sense of responsibility and pride in their work the industry thus become de-humanized. Furthermore, in a society where specialization is the rule of the day, workers lose their status as craftsman and depend on their ability to sell their labor services to factory

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owners. Since specialization leads to a greater use of machines, the manual work is transferred to machines which control everything in the production process; the workers lose the pride of making things with their own hands.

4. **Interdependence:** Division of labor and specialization leads to diversification in the industries where a large number of firms specialize in a particular sub-process of a production process. For e.g. in an automobile industry a large number of firms specialize in the production of components of a car like tyres, doors, seats and so on. Each firm then supplies particular components to the car assembler. If any of the components is missing, the entire production process will halt.
5. **Immobility increases:** In a society with high degree of specialization and standardization, the larger will be the scale of production. This can be a disadvantage because of anything goes wrong, and there is a reduction in demand, it will be difficult for producers to move to the production of some other commodity.
6. **High training costs:** Another disadvantage of specialization is the high cost incurred in training specialized workers. Producers often have to pay a considerable amount of money to train their workers. And very often after acquiring the skill, workers will leave the firm to seek employment elsewhere where wages are higher. In this way producers lose out because of the difficulty in training workers.

Money: It can be defined as anything which is readily acceptable as a medium of exchange and in the settlement of debts.

In ancient times, before the introduction of a commodity which could be used as a medium of payments i.e. when money was not invented, trade as a whole was on barter system. This was possible only in a simple economy but after the development of economy, direct exchange of goods without the use of money, was not without effects. There were various defects in this system. These were the following:

1. **Double coincidence of wants:** Exchange can take place between two persons only if each possesses the goods which the other wants e.g. if a person needs shoes and he has cloth to offer in exchange he should not only find a person

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who makes shoes, but find such who need cloth and is prepared to give shoes in exchange for it. In this case, it was difficult to find such a person.

2. **Absence of standard value:** Under barter system there was no measure of value. Even if two persons met together who wanted each other goods, they could not find a satisfactory equilibrium price. Under such conditions one party had to suffer.
3. **Indivisibility of commodities:** It was difficult to divide a commodity without loss in its value e.g. a man who wants to purchase cloth equal to half the value of his cow and other commodities for the rest half value of cow; he could not divide his cow.
4. **Absence of store of value:** Wealth cannot be easily stored for future use in the form of commodities because they perish in the long run. To avoid these problems, an alternative system of exchange evolved. It was apparent that exchange would be much simpler if everyone was willing to accept some common item in a trade. Each person could trade whatever he or she produced for one, common thing. Money overcomes the problems of a barter system and the need for a coincidence of wants. Money means a set of common prices can be established (that is, money serves as a unit of account). People can be paid their incomes in money.

Functions of money: Money performs the following functions

1. **Medium of exchange:** People can use money for spending (that is, money serves as a medium of exchange). The farmer can provide food to those wanting food and receive from them in exchange for the food. The farmer then exchanges the money for a TV at a price the farmer is willing to pay. Such a process is much simpler and saves a great deal of travel, searching and time.

Money helps bring simplicity and organization to our economy. It is something people are willing to accept in exchange for the output they produced and have available. Money is our medium of exchange.

Throughout history, societies have used various items as the medium of exchange, everything from playing cards to shells to furs to gold. For one

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reason or another, these items became acceptable in some societies as money, it serve as money - it must be readily acceptable.

If there were no money, then exchange would have to take place by barter which require double coincidence of wants leading to limited transactions and the growth of the economy will be restricted.

2. **Unit of account:** Another function of money is that it serves as a standard of value or a unit of account. That is, money serves as a common item in which the prices of all goods and services can be set. If a person wants a computer he or she doesn't have to calculate how many loaves of bread will be necessary in order to buy it, how many painted houses, how many rocking chairs, or how many taxi rides. Instead of setting millions of prices for a television in terms of all other goods and services produced, one price is set. And the prices of all other goods and services are set in the same unit of account. It is common denominator, or measure, it thus enables individuals to compare relative values of goods and services.
3. **Store of value:** When a commodity is generally accepted as a medium of payments, it can be used any time in the future whenever a need or want arises. Without the use of money, it will be impossible to build up stores of many things for future use. Money, therefore, makes it possible for a person to provide for old age. By forgoing current consumption, he can accumulate a reserve of purchasing power for use in the future.

To see how money is a store of value, consider the following e.g. a fisherman comes to the port after several days for fishing. At the going price of fish that day, he has \$1000 worth of fish. Fish are not good store of value because, if fisherman keeps them too long, they will rot. If he attempts to exchange them with other trades people some of the fish may rot before he can exchange the entire catch for the goods and services that he desires. However, if fisherman sells the entire catch for money, he can store the value of his catch in the form of money that he receives.

Inflation reduces the value of money. It is therefore made money in to a rather poor store of value. Over time, people get used to this and look for ways of protecting themselves from inflation. They may buy houses, or share, or gold and hold less money.

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THE CHARACTERISTICS OF MONEY

The characteristics of what serves as money depend somewhat on the degree of complexity in the society. A relatively simple economy, with relatively few goods and services, few producers and consumers, and few transactions, may be able to function with a form of money that would not work in a more complex society.

There are some general characteristics that are usually important for whatever serves as money in a modern economy

- **Acceptability:** if money is to act as a medium of exchange, it must be generally acceptable as a means of payment. If money is to be generally acceptable, it must have a recognized intrinsic value.
- **Durability:** Money must last a reasonable length of time deteriorating, certainly if it is to be used as a means of storing wealth. This is a problem which may affect paper money and to a lesser extent coins.
- **Portability:** Money must be easy to use, in the case of money that physically changes hand, this means that it must be light and small to carry around. One of the disadvantages of gold for coins is that it is very heavy to carry. Notes are a great improvement in this respect.
- **Divisibility:** It is highly desirable that money should be capable of paying for the smallest transactions of everyday life. This is only possible if small units of money are available, which provides a reason why token coins have replaced coins of intrinsic value. The impossibility of making gold coins small enough to be worth a penny led to the use of copper and even less valuable metals. It has been suggested that coins should be made of plastic, which is light, durable and very cheap. The ease with which they might be imitated is the major drawback here.
- **Stability of value:** if money is to fulfill its various functions (especially the store of value and standard of deferred payments), it must retain its value. In terms of money produced by the state, the requirement here is that the government keeps its supply under control. In the past it was achieved by tying monetary value to something which was relatively stable supply, such as gold. It is one of the most serious defects of modern money that is affected by inflation.

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Demand for factors of production

What factors of production are employed? The type of factors of production employed is influenced by the type of product produced, the productivity of the factors and their cost. A firm producing a standardized model of car is likely to be very capital-intensive, whereas a beauty salon is likely to be labor-intensive.

When factors of production are substitutes, a rise in the productivity, or a fall in the cost of one of them, may result in a change in the combination of resources being employed. A fall in the price of capital goods, for example, might lead to the replacement of some workers with machines. In other cases, where factors of production are complements, a fall in the price of one, or a rise in its productivity, may increase the employment of all factors in a firm.

For example, a fall in the price of aircraft may make it possible for an airline to fly to more destinations. If so, they will also employ more pilots, more cabin crew and obtain more takeoff and landing slots at airports.

Altering factors of production: If a firm wants to change the quantity of resources employed by it, it will find it easier to do this with some factors than others. In the short run, there is likely to be at least one fixed factor of production. This means the quantity cannot be altered quickly. The most obvious example is the size of the factory or office. It will take time for a firm desiring expansion, to extend its buildings or build new ones. Similarly, one wanting to reduce output is unlikely to be able to stop renting or sell off its buildings quickly. In contrast, it is likely to be easier to change the quantity of labour. Even in the very short run, it may be possible to alter the quantity of labour by changing the amount of overtime available. It may also be possible to change orders for raw materials and capital equipment, but it will depend on the length of contracts and, in the case of increasing demand, the availability of spare capacity in firms producing them.

Combining the factors of production: It is important to achieve the right combination of factors of production. For example, it would not make sense for a hairdressing salon to have ten hairdryers and two hairdressers, or a farmer to have a large amount of land and only a few cattle. In the first case, labour would be

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under-utilized and in the second case, there would be an insufficient number of livestock to make full use of land. While deciding the combination of resources, firms seek to achieve the highest possible productivity. For example, Table 21.1 shows that the most appropriate number of workers to be employed (in terms of productivity) with five machines is seven, since this is where output per worker is highest. The combination is not always one machine per worker. This is because workers may work in shifts, some workers may be undertaking training and, of course, in some cases one worker may use more than one piece of machinery.

No. of machines	No. of workers	Total output (units)	Output per worker (average product) (units)
5	1	50	50
5	2	120	60
5	3	210	70
5	4	320	80
5	5	450	90
5	6	600	100
5	7	770	110
5	8	800	100
5	9	810	90

Table 21.1: Combining labour with machines

Factors influencing demand for capital goods

Among the key factors influencing demand for capital goods are the price of capital goods, price of other factors of production, profit levels, corporation tax, income, interest rates, confidence levels and advances in technology.

- A rise in the **price of capital goods** will cause a contraction in demand for capital goods, whereas an increase in the price of another factor of production, particularly labour, may increase the demand for capital goods. This will occur if the factors are substitutes and the rise in price of another factor makes the production of a unit of output more expensive than that involving a rise in capital. If another factor is a complement, an increase in its price would cause a decrease in demand for capital.

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- If **profit levels are high**, firms will have both the ability and the incentive to buy capital goods.
- A **cut in corporation tax** would also mean that firms would have more profit available to plough back into the business and greater incentive to do the same.
- **Rising real disposable income** will lead to an increase in consumption. This, in turn, is likely to encourage firms to invest as they will expect to sell a higher output in the future.
- A **cut in interest rates** would also tend to raise consumption and thereby encourage firms to expand their capacity. In addition, lower interest rates would increase investment because they would reduce the opportunity cost of investing and lower the cost of borrowing. Firms can use profits to buy more capital goods instead of depositing them in bank accounts. With low interest rates, firms would be sacrificing less interest by buying capital goods. Borrowing to buy capital goods would also be less costly.
- Another key influence on investment is **firms' expectations** about the future. If they are confident that sales will rise, they will invest now. In contrast, a rise in pessimism will result in a decline in investment.
- **Advances in technology** will increase the productivity of capital goods. If new and more efficient machinery is developed, firms are likely to invest more.

Demand for land

Productivity is a key factor influencing demand for land. In terms of agricultural land, the most fertile land will be in highest demand and receive the highest rent. City Centre sites are also very productive as firms have the potential to attract a high number of customers. If a shop in the Centre of New York becomes vacant, it is likely that a number of retail firms would compete for it in the expectation that they could earn a high revenue there. The competition pushes up the rent that can be charged for a favorable site.

One natural resource, which is experiencing an increasing world demand, is water. Water is used for domestic, agricultural, industrial and energy production purposes. As countries become richer, they make heavier demands on scarce water

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supplies. The global use of water has increased six times in the last one hundred years and is predicted to double again by 2050.

Factors of production and sectors of production

The demand for factors of production can alter as an economy changes its industrial structure. As mentioned in Chapter 20, the distribution of resources among different sectors changes with economic development. In most cases, agricultural reform permits resources to move to low-cost manufacturing. Then, resources move to higher value added manufacturing and then finally the service sector becomes the most important one. Not all economies, however, conform to this pattern. India's service sector has expanded before it has built up a sizeable manufacturing sector. Now, in most countries, the service sector makes the largest contribution to output. Indeed, in 2016 the service sector accounted for 63% of global output.

Different industries make use of different factors of production. The chemical industry, for example, is very capital-intensive and agriculture is land-intensive (along with being water-intensive).

Labour-intensive or capital-intensive production

There are a number of reasons why some producers use labor-intensive methods of production. One is that there is a large supply of labour in the country, making labour relatively cheap.

Another reason is that some producers may be too small to take advantage of capital equipment. If, for example, a machine could produce 3000 pairs of shoes a day, but a producer could only sell 50, she would not consider it worthwhile to buy the machine. The small producer of shoes may also want to produce handmade shoes, as some people may be willing to pay a high price for such shoes. Consumers may think that handmade products are of a higher quality and more likely to meet their individual needs than mass produced products. This may make consumers willing to pay a higher price for them. Custom-made products can also provide greater status and some consumers like the personalized attention that labor-intensive production may make possible.

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Relying more on labour than capital has a number of other advantages. Workers can be more flexible in terms of what they do and the size of the labour force can be adjusted by small amounts. Labour can also provide feedback on how to improve production methods and the quality of products.

Firms may switch from capital-intensive production to labor-intensive production if the price of capital increases and labour can carry out the same functions with the same level of productivity as the machines they replace. In practice, however, firms tend to switch from labor-intensive production to capital-intensive production. This is because advances in technology tend to make capital goods more affordable and more productive. Education, for example, is becoming more capital-intensive with developments such as online university degrees. As well as often having the capacity to produce more products at a lower average cost (technical economies), capital goods produce products of a uniform standard unaffected by human error. They do not engage in industrial action. They also do not have time off ill and are not affected by tiredness, although they do need to be maintained and can break down.

Production and productivity

There are clear links between production and productivity, but they are not the same thing. If output per worker hour increases and the number of working hours stays the same, production will increase. It is possible, however, that productivity could rise and production could fall. This could occur if unemployment increases. Indeed, a rise in unemployment may increase productivity as it is the most skilled workers who are likely to keep their jobs.

As economies develop, both production and productivity tend to increase due to advances in technology and improvements in education. These developments can result in productivity rising so much that total output can increase while the number of working hours declines.

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